

Long Term Growth Can Include Downturns

- ▶ Real GDP per person fell from \$20,368 in 1997 to \$19,184 in 1998, a decline of about 5.8 percent.
- ▶ It rose to \$21,233 in 1999, an increase of about 10.7 percent from the previous year.
- ▶ The first comparison describes a downturn. The full graph describes decades of long term growth.

The time horizon determines which macroeconomic story we are telling.

Source: Gapminder GDP per capita version 27. Values are constant 2017 international dollars adjusted for purchasing power.

Inflation: The Short Run and the Long Run

In the short term

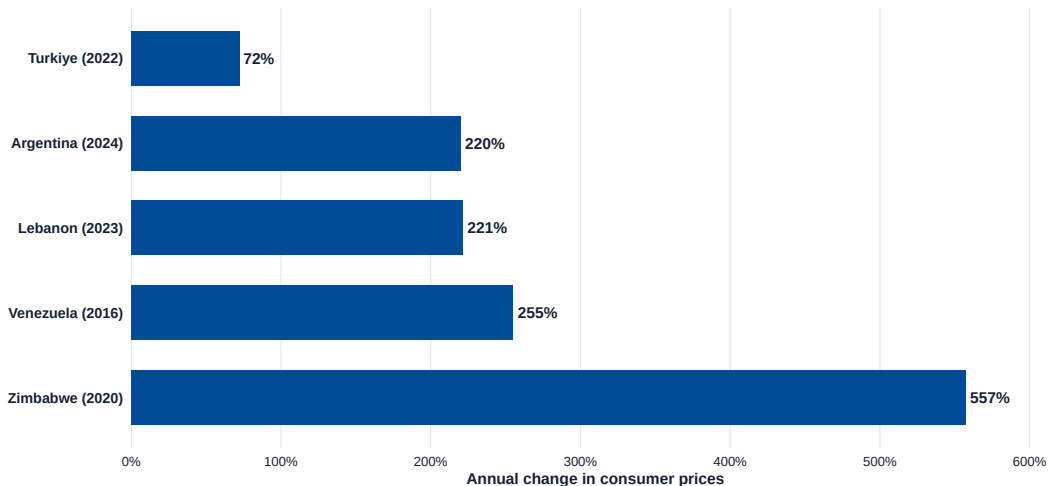
Inflation often rises when spending is strong relative to productive capacity. Weak activity often reduces inflation pressure. Supply disruptions can change this pattern.

Over longer periods

Persistent growth in the money supply and nominal spending shapes the path of the overall price level.

Inflation: Selected High Inflation Episodes

Selected observations from one comparable consumer price series



Source: World Bank, World Development Indicators, Inflation, consumer prices, annual percent. Underlying source: IMF International Financial Statistics. Venezuela observations in this series end in 2016.